

Bank of Leeds Investment Proposal

North York Moors Heritage Trails & Hospitality Programme

A £250 Million Investment Strategy for Sustainable Heritage Tourism

Prepared for: Bank of Leeds – Tourism, Hospitality & Regional Development Division

Sector: Tourism, Hospitality, Heritage Conservation, Rural Enterprise

Investment Horizon: 10–15 years

Executive Summary

This proposal recommends that Bank of Leeds establish the **North York Moors Heritage Trails Fund**, a dedicated investment vehicle supporting sustainable tourism infrastructure, hospitality businesses and heritage-led economic development across the North York Moors.

The objective is to increase visitor spending—not simply visitor numbers—by encouraging longer stays, higher-value accommodation and year-round tourism.

The North York Moors National Park already attracts **around 7.5–8 million visitor days annually**, generating approximately **£500–600 million of local economic activity** and supporting thousands of jobs across tourism and hospitality. The challenge is that many visits remain day trips, limiting overnight spending and local business growth.

Investment Thesis

The North York Moors possesses internationally recognised assets:

- spectacular moorland scenery
- historic market towns
- abbey ruins
- traditional villages
- coastal access
- steam railways
- walking and cycling networks

Yet several constraints remain:

- relatively limited premium accommodation in some areas
- seasonal tourism patterns

- fragmented visitor experiences
- underinvestment in higher-value hospitality

The opportunity is to create a connected network of heritage experiences that increase average visitor spend while respecting the National Park's protected status.

Vision

Create Britain's leading heritage tourism landscape.

Instead of isolated attractions, visitors experience an integrated network including:

- heritage trails
 - boutique hotels
 - luxury inns
 - cafés
 - local food producers
 - artisan retail
 - wellness retreats
 - heritage transport
 - guided experiences
-

Investment Programme

North York Moors Heritage Fund

Target size

£250 million

Funding Structure

Source	Investment
Bank of Leeds	£100m
Private Investors	£75m
Hospitality Funds	£50m
Local Development Partnerships	£25m

Investment Allocation

Category	Investment
Boutique hotels	£80m
Heritage inns	£40m
Visitor centres	£20m
Walking & cycling infrastructure	£15m
Food & drink businesses	£20m
Heritage attractions	£25m
Marketing	£20m
Working capital & SME lending	£30m

1. Heritage Trail Network

Develop a series of themed trails linking existing attractions.

Examples include:

The Abbey Trail

Connecting:

- Whitby
 - Goathland
 - Grosmont
 - Rievaulx Abbey
 - Helmsley
-

The Railway Trail

Following stations and villages served by the **North Yorkshire Moors Railway**, encouraging visitors to combine heritage rail travel with walking and overnight stays. The railway is one of the UK's largest heritage railways and is a major tourism draw.

The Yorkshire Food Trail

Featuring:

- farm shops
- breweries
- cheese producers
- bakeries
- distilleries
- restaurants

Literary Yorkshire

Highlighting connections with:

- Bram Stoker
 - Captain Cook
 - local folklore
 - historic estates
-

2. Boutique Hotel Programme

Develop or refurbish:

Eight Boutique Hotels

Typical size:

40–60 rooms

Locations:

- Helmsley
 - Pickering
 - Hutton-le-Hole
 - Robin Hood's Bay
 - Whitby hinterland
 - Kirkbymoorside
 - Great Ayton
 - Stokesley
-

Investment

Average:

£10 million

Eight hotels

=

£80 million

Average Daily Rate

£180

Occupancy

70%

Annual room revenue per hotel:

Approximately £2.3 million

Food, beverage and events provide additional income.

3. Heritage Inns

Finance the restoration of:

20 traditional Yorkshire inns

Investment:

£2 million each

Total:

£40 million

Purpose:

- accommodation
 - dining
 - local beer
 - walking holidays
 - cycling support
-

4. Visitor Centres

Develop four premium visitor hubs.

Each includes:

- exhibitions
- cafés
- local produce
- walking information
- cycle hire
- electric vehicle charging

Investment:

£5 million each

Total:

£20 million

5. Food & Drink Investment

Support:

- artisan bakeries
- local breweries
- cheese producers
- smokehouses
- distilleries
- cafés

Fund size:

£20 million

Typical loan size:

£250,000–£1 million

6. Heritage Attractions

Provide investment capital for:

- museum improvements
- heritage restoration
- digital interpretation
- family attractions
- event spaces

Programme:

£25 million

7. Marketing Strategy

National campaign:

"Discover England's Greatest National Park"

Target markets:

- London
- Midlands
- Scotland
- Germany
- Netherlands
- North America

Investment

£20 million

Visitor Growth Assumptions

Current visitor economy:

Approximately

£550 million annually

Target increase over ten years:

25%

Additional visitor spending:

£137 million annually

Hospitality Revenue

Boutique Hotels

Eight hotels

Annual revenue:

£3.5 million each

Portfolio:

£28 million

Heritage Inns

20 inns

£1.5 million each

=

£30 million

Visitor Centres

£8 million

Food & Drink Businesses

Loan portfolio supports businesses generating an estimated:

£40 million annual turnover

Total Supported Annual Revenue

Approximately:

£106 million

Economic Impact

Construction phase:

Approximately 2,500 job-years

Permanent employment:

- hotel staff
- hospitality
- maintenance
- food production
- visitor services

Estimated:

1,500–2,000 jobs

Financial Performance

Estimated stabilised operating income across directly financed hospitality assets:

Approximately:

£20–25 million annually

Portfolio valuation will depend on the mix of owned properties and loan assets, but a diversified hospitality property portfolio with stable occupancy can provide long-term income and capital appreciation.

Strategic Benefits

The programme would:

- increase overnight stays
 - extend the tourism season
 - support rural employment
 - encourage investment in historic buildings
 - strengthen local food producers
 - enhance Yorkshire's international tourism offer
-

Risk Management

Key risks include:

- seasonal visitor demand
- planning constraints within a National Park
- labour shortages in hospitality
- weather-related variability

Mitigation includes:

- focusing on year-round experiences
 - restoring existing buildings rather than large-scale new development
 - diversifying revenue through events, wellness and food tourism
-

Investment Recommendation

Approve the creation of the:

North York Moors Heritage Trails Fund

Bank of Leeds Commitment: £100 million

Total Programme Size: £250 million

Expected Outcomes

Metric	Target
Boutique hotels	8
Heritage inns	20
Visitor centres	4
SME hospitality investments	50+
Total investment	£250m
Additional annual visitor spending	£137m
Permanent jobs supported	1,500–2,000

Strategic Vision

The aim is to transform the North York Moors into one of Europe's premier heritage landscapes—not through large-scale commercialisation, but through coordinated investment in hospitality, local businesses and high-quality visitor experiences that complement the National Park's environmental and cultural character. Such an approach seeks to increase the value created by each visit while preserving the qualities that make the area distinctive.